

Microsoft Corporation (MSFT)

AI Leadership Is Visible - So Is the Cost of Building It

MSFT, NASDAQ | Information Technology | Cloud, Software and AI Platforms

OVERWEIGHT

Price (22 Aug 2024):	US\$415.55
Price Target (Dec-25):	US\$500.00

INVESTMENT THESIS

Microsoft ended FY24 with US\$245.1bn of revenue and US\$109.4bn of operating income. Azure and other cloud services grew 29% in Q4, while Microsoft Cloud revenue reached US\$36.8bn. The earnings base is broad enough to fund an aggressive AI build-out.

The central debate is no longer whether Microsoft can sell AI services, but whether infrastructure spending converts into durable revenue and margins. Capital expenditure rose sharply as management built capacity ahead of demand, which raises depreciation and free-cash-flow risk.

Our US\$500 December 2025 target applies 31.25x FY26E EPS of US\$16.00. The premium reflects Azure, security and Microsoft 365 distribution, offset by capital intensity, competition and uncertainty around Copilot monetization.

- Q4 revenue was US\$64.7bn, operating income US\$27.9bn and diluted EPS US\$2.95; each increased at least 10% year over year.
- FY24 revenue rose 16% and operating income 24%. Azure growth of 29% was two points below the prior quarter, keeping capacity and execution in focus.
- Our US\$500 December 2025 target implies 20.3% price upside. Estimated dividends add 1.0%, for approximately 21.3% total return.

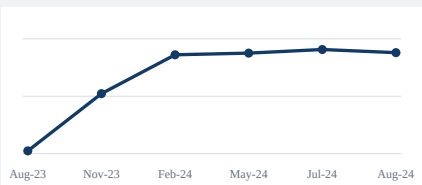
COMPANY OVERVIEW

Microsoft operates productivity software, Azure cloud infrastructure, security, databases, developer tools, LinkedIn, Windows, search and gaming. Enterprise distribution and an installed base spanning infrastructure through applications support cross-selling; cloud competition, cybersecurity and AI economics are the principal risks.

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Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~7.43bn
Market cap	~US\$3.09tn
52-week range	~US\$309-468
Annual dividend	US\$3.00
FY24 revenue	US\$245.1bn
FY24 op. margin	44.6%
Q4 Azure growth	29% y/y
Latest results	FY24

KEY ESTIMATES

US\$bn unless noted	FY22A	FY23A	FY24A	FY25E
Revenue	198.3	211.9	245.1	279.0
Operating income	83.4	88.5	109.4	124.0
Operating margin	42.1%	41.8%	44.6%	44.4%
Diluted EPS	9.65	9.68	11.80	13.50
Capital spending	23.9	28.1	44.5	58.0

FY24 Q4: DURABLE GROWTH, WITH AI INVESTMENT MOVING INTO THE NUMBERS

The quarter showed broad revenue growth and stable operating leverage. Azure remained the main incremental engine, while gaming benefited from Activision. The next phase requires new AI revenue to absorb a much larger capital base and the depreciation that follows it.

Metric	Q4/23	Q3/24	Q4/24	Y/Y	Read-through
Revenue	US\$56.2	US\$61.9	US\$64.7	+15%	Broad growth
Microsoft Cloud	US\$30.3	US\$35.1	US\$36.8	+21%	Recurring mix
Azure growth	26%	31%	29%	+3pt	Capacity constrained
Operating income	US\$24.3	US\$27.6	US\$27.9	+15%	Leverage holds
Diluted EPS	US\$2.69	US\$2.94	US\$2.95	+10%	Tax and mix
Capex incl. leases	~US\$10.7	~US\$14.0	~US\$19.0	Sharp	AI build-out
Commercial RPO	US\$224bn	US\$235bn	US\$269bn	+20%	Visibility

FORECAST AND EARNINGS FRAMEWORK

We model mid-teens revenue growth through FY26E, with Azure and Microsoft 365 offsetting slower PC and gaming comparisons. Operating margin remains near 44% as gross-profit growth is reinvested in AI capacity. EPS benefits from operating leverage and modest share reduction, while free cash flow grows more slowly than earnings in FY25E.

US\$bn unless noted	FY22A	FY23A	FY24A	FY25E	FY26E
Revenue	198.3	211.9	245.1	279.0	315.0
Revenue growth	18%	7%	16%	14%	13%
Operating income	83.4	88.5	109.4	124.0	141.0
Operating margin	42.1%	41.8%	44.6%	44.4%	44.8%
Diluted EPS	9.65	9.68	11.80	13.50	16.00
EPS growth	20%	0%	22%	14%	19%
Capital expenditure	23.9	28.1	44.5	58.0	68.0
Free cash flow	65.1	59.5	74.1	78.0	91.0
Dividend / share	2.48	2.72	3.00	~3.30	3.60

FREE CASH FLOW IS THE NEAR-TERM REALITY CHECK

AI infrastructure is paid for before associated revenue is fully visible. Our model therefore gives more weight to free-cash-flow conversion and cloud gross margin than to headline AI announcements. Faster utilization would create upside; excess capacity or rapid hardware obsolescence would pressure returns.

GROWTH DRIVERS: AZURE, COPILOT DISTRIBUTION AND PLATFORM BREADTH

Microsoft can monetize AI at infrastructure, developer and application layers. That breadth is a strategic advantage, but customers will still demand measurable productivity and security benefits before adoption becomes enterprise-wide.

Driver	FY23A	FY24A	FY25E	FY26E	Investment implication
Azure growth	26% Q4	29% Q4	High-20s	Mid-20s	Core engine
Cloud revenue	US\$111.6bn	US\$137.4bn	~US\$160bn	~US\$190bn	Recurring mix
Commercial RPO	US\$224bn	US\$269bn	>US\$300bn	>US\$340bn	Visibility
Copilot	Launch phase	Early paid	Scale seats	Improve usage	App upside
Operating margin	41.8%	44.6%	44.4%	44.8%	ROI test
Capex / sales	13%	18%	21%	22%	Cash pressure

AZURE AND AI INFRASTRUCTURE

Azure benefits from cloud migration and demand for training and inference. Capacity constraints can defer revenue, while custom silicon and utilization can improve unit economics. AWS and Google Cloud remain formidable competitors.

MICROSOFT 365 AND COPILOT

Microsoft 365 offers a natural distribution channel for Copilot. Value depends on active use, measurable productivity gains and renewal economics, not only initial seat sales. Bundling can also attract regulatory scrutiny.

GAMING, SECURITY AND CAPITAL ALLOCATION

Activision increases content scale while security remains a durable cross-sell. Both broaden the platform, but AI investment is now the dominant use of incremental cash and reduces the near-term role of repurchases.

VALUATION AND PRICE TARGET

Our December 2025 target is US\$500. The primary framework applies 31.25x to our FY26E EPS of US\$16.00. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
Forward P/E	50%	31.25x FY26E US\$16.00	US\$500	Cloud and software quality
Cash-flow model	30%	8.0% WACC; 4% terminal g	US\$480	Cash conversion
Peer check	20%	Cloud and platform peers	US\$530	Relative valuation
Weighted target	100%		US\$500	Rounded target

VALUATION SENSITIVITY

FY26E EPS / P-E	26.0x	29.0x	32.0x	35.0x	38.0x
US\$13.60	US\$354	US\$394	US\$435	US\$476	US\$517
US\$15.20	US\$395	US\$441	US\$486	US\$532	US\$578
US\$16.00	US\$416	US\$464	US\$512	US\$560	US\$608
US\$16.80	US\$437	US\$487	US\$538	US\$588	US\$638

At US\$415.55, the shares trade at 26.0x our FY26E EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Azure >30%; Copilot scales; margin expands	US\$610
Base	55%	Mid-teens growth; margin near 45%; blended	US\$500
Bear	20%	AI ROI disappoints; growth slows; multiple contracts	US\$340

The probability-weighted scenario value is US\$496. Our US\$500 target implies 20.3% price appreciation and approximately 21.3% total return including estimated dividends through December 2025. We rate MSFT Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Azure demand remains above available capacity and new supply fills quickly.
- Copilot adoption broadens with strong renewal and usage economics.
- Custom silicon and utilization contain cloud cost inflation.
- Security and data products gain share across the installed base.

DOWNSIDE RISKS

- AI capital spending grows faster than monetization and free cash flow.
- AWS or Google Cloud compresses price or wins strategic workloads.
- Copilot adoption stalls after initial trials or faces customer pushback.
- Cybersecurity, regulatory or OpenAI-related events impair trust.

METHODOLOGY AND SOURCE NOTES

1. Microsoft FY24 Q4 release and metrics dated 30 July 2024: <https://www.microsoft.com/en-us/investor/earnings/fy-2024-q4/press-release-webcast> and <https://www.microsoft.com/en-us/investor/earnings/fy-2024-q4/metrics>
2. Microsoft FY24 Form 10-K filed 30 July 2024: <https://www.sec.gov/Archives/edgar/data/789019/000095017024087843/msft-20240630.htm>
3. Market data: MSFT raw close of US\$415.55 on 22 August 2024 from date-bounded Yahoo Finance chart data: <https://query2.finance.yahoo.com/v8/finance/chart/MSFT?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. All forecasts, valuation inputs, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Microsoft, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.